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A Tax-Based Solution to Canada's Housing Crisis

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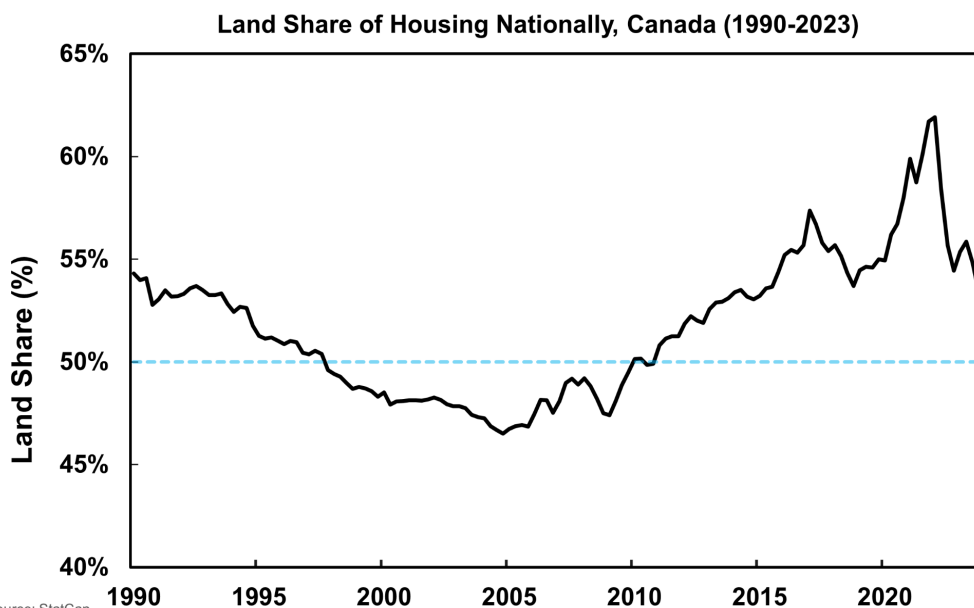
Canadian policymakers confronting the housing crisis are caught between two groups: landlords who want to protect their property values, and young families and renters who want affordable homes. Attempts to satisfy both have failed. Demand-side incentives, like first-time homebuyer programs, have only inflated prices by increasing demand without increasing supply. Politically popular supply-side interventions often require unpopular taxation or debt financing, both of which distort market solutions. As a result of ineffective policies, homeownership costs now consume 60% of household income (RBC 2024), people cannot afford to live where they work (CMHC 2025)(StatsCan 2025 Wages), families delay having children, and youth savings are half of what they were five years ago (StatsCan Savings).

The problem with policymakers' response is their exclusive focus on houses instead of land. They do not consider land an important component of housing despite its separate market dynamics and increasing share of residential property values. This assessment is a mistake for two reasons: (1) land is an inherently non-productive asset yet constitutes a growing share of housing values, and (2) it is inefficient for the government to tax houses and not the land underneath them.

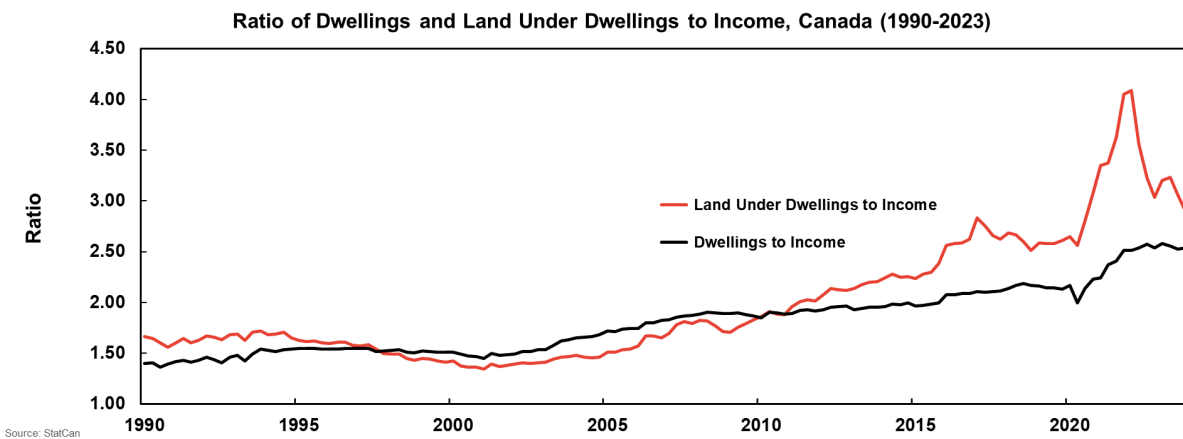
Nationally, more than half of residential property wealth now comes from land, a share

that continues to grow.

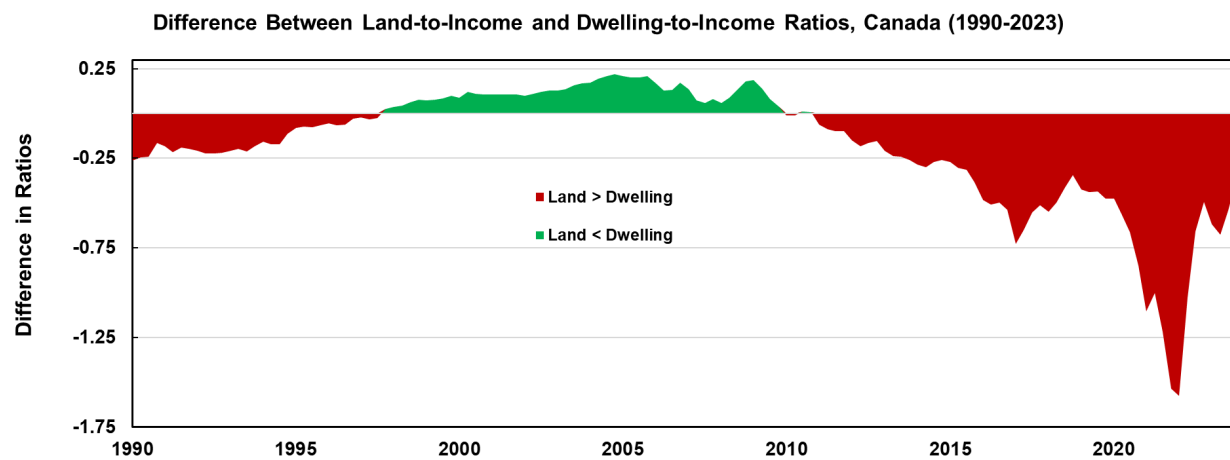
In cities like Vancouver, land accounts for an overwhelming 78% of real estate value (British Columbia Roll Totals 2025). While not



surprising, land's dominance is unacceptable as the status quo. Land is more expensive in cities because cities concentrate community, industry, and direct public investment, making them the centres of economic activity. Yet land itself is not productive; it is merely the space on which activity occurs. This means that land's value comes entirely from demand; it is socially derived, but privately captured by titleholders. For example, unlike the value added when an owner renovates or builds new housing, rising land values result from communal industry: a new subway built nearby, or new businesses moving in, projects that the owner has not contributed to, yet benefits from passively.



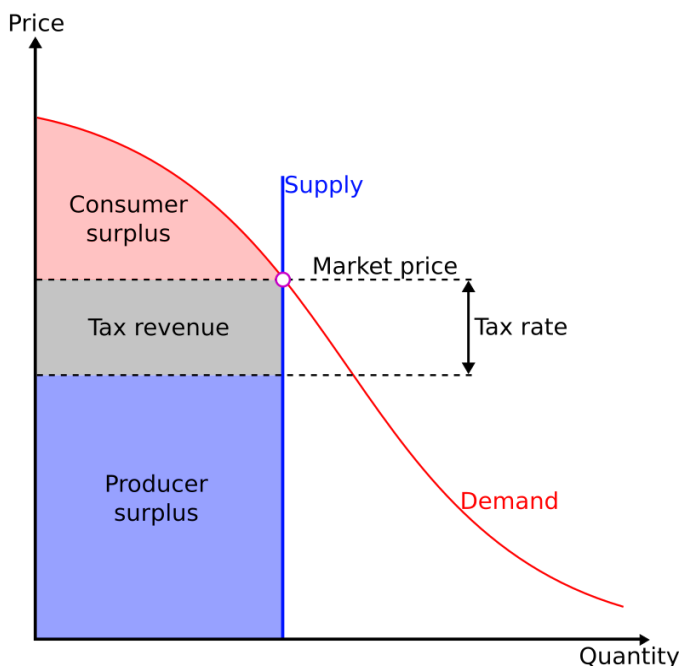
(Chart 1)



(Chart 2)

Passively holding land and waiting for appreciation, as Nobel Laureate Stiglitz notes, perverts capital from productive investment and inflates costs for all land-dependent activities (Stiglitz, 4). Land speculation produces no real growth, yet its returns have historically exceeded those of equities: 8% versus 6% (Commonwealth Incentives). Data from Canada's National Balance Sheet (see Chart 1 above) visualizes this misallocated capital: since 2010, land-to-income ratios have consistently outpaced dwelling-to-income ratios, with the gap increasing sharply in recent years. The difference chart (Chart 2) shows that land values have grown far faster than the structures built on them, suggesting that most of the rise in housing costs reflects speculation on land rather than improvements in housing. Ironically, speculation stifles the very growth which gives land its initial value.

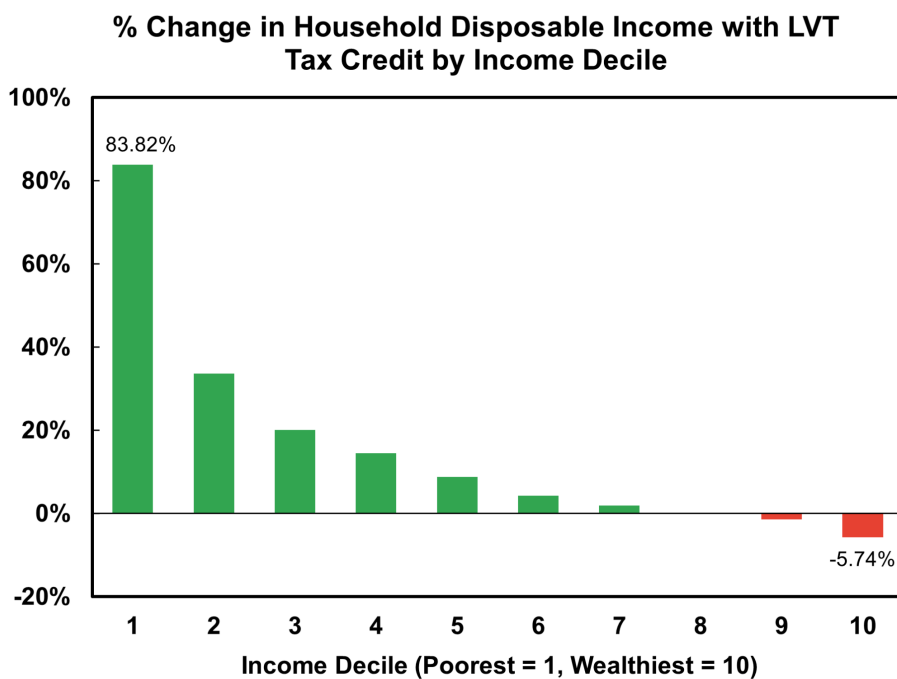
A land value tax (LVT) directly addresses distorted capital allocation by taxing only the land component of housing. LVT creates no market distortions because the land supply is fixed and cannot be shifted onto tenants, as LVT does not distort the utility derived from rented land.



This unique property distinguishes it from other taxes: whereas higher capital gains taxes reduce investment, a new 2% LVT cannot trigger a supply response, since land cannot be withdrawn from the market. Instead, land prices would slowly adjust downwards to reflect the discounted cost of future tax payments. By decapitalizing land, LVT would lower the land share of housing costs and remove the incentives for speculation.

To address the housing crisis, replacing property taxes with an LVT would remove disincentives to build. Consider a vacant, privately-owned urban plot. Under a property tax system, owners minimize their tax burden by keeping the land vacant, as improvements would increase their tax bill. With an LVT, the tax is levied on land value regardless of use, rendering vacancy or underutilization financially unsustainable. Owners must improve the land to generate income to cover the tax. Replacing distortionary property taxes with an LVT corrects private incentives to enable a market-driven increase in Canada's housing supply and quality.

Research from Commonwealth finds that a 2.4% tax on average residential property values would capture 75% of land's unearned value and generate \$194 billion in net revenues after eliminating property taxes (Commonwealth Distributional Impacts). While LVT would



reduce after-tax income, pairing it with a flat household tax credit (calculated as LVT net revenues divided by the number of households) would increase almost 80% of Canadian's income. Unlike other non-distortionary lump-sum taxes, which are unworkably regressive because they ignore the poor

taxpayer's inability to pay, an LVT is progressive. It applies uniformly to land, but because land ownership is strongly positively correlated with wealth, the tax burden falls disproportionately on the wealthy.

In addition to the theoretically justified reasons, empirical examples demonstrate its efficacy. It has been implemented in several countries, including Denmark, New Zealand, Estonia, Australia, and Canada. Studies on Denmark's 2007 LVT confirm the theory that land taxes substantially reduce housing costs by the "full capitalization of the present value of future taxes" (Høj, 3). Over time, political pressures and interest-group dynamics explain its decline. A clear case study was Vancouver in the early 20th century.

In 1910, Vancouver adopted an LVT as its only municipal tax. Proponents credited it with encouraging the city's early growth, and even opponents admitted it encouraged construction and reduced rents (England, 59). Despite these demonstrated benefits, the system was gradually weakened and repealed in 1984. Its repeal was driven by a small but well-organized coalition of homeowners and "ratepayer associations" with concentrated financial interests in land (England, 62). LVT's beneficiaries, the broader public, were less organized. Because their gains were spread thinly, each individual had weaker stakes in defending the system than the landlords who sought to remove it. As a result, a narrow minority successfully out-lobbied the broader public. Historians note that political debates "had less to do with substantive disagreements over the efficacy of land value" and more to do with overtly moral arguments defending property rights and the right to collect unearned land appreciation (England, 63).

Solving Canada's housing crisis is of existential importance. The government must guarantee citizens' need for housing while upholding the meritocratic promise that hard work, not merely land ownership, creates wealth; land taxation achieves both. While it faces political resistance from a powerful minority, bundling LVT with lower taxes for the majority makes it a policy worthy of recognition, serious consideration, and implementation.

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